

Federal Audit Clearinghouse (FAC)

Bureau of the Census
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USA

After completing your corrective action plan, compile the rest of your audit package (see [Audit Package](#) box).

5. Management Decision—Reviewing proposed corrective actions and issuing a decision. Within six months of receiving the audit package, the agency or the prime (in the case of a finding for a subrecipient) will issue a corresponding management decision for each finding.

If you receive funding from multiple USG agencies, the oversight agency (the USG agency that provides the predominant amount of funding in a given year) takes the lead on management decisions for any audit findings that relate to multiple USG agencies.

The management decision must clearly state whether the audit finding is sustained, the reasons for the decision, and the expected action(s) of the audited organization, such as repaying disallowed costs, making financial adjustments, or taking other action.

If the audited organization has not completed corrective action, a timetable for follow-up will be given. The management decision should describe any appeal process available to the auditee.

The Audit Package

- ▶ SF-SAC Form (Data Collection Form for Reporting on Audits (http://www.whitehouse.gov/omb/grants/form_sf-sac/sfsac.pdf))
- ▶ Financial Statements
- ▶ Schedule of Expenditures under USG Awards
- ▶ Summary Schedule of Previous Audit Findings
- ▶ The Auditor's Report
 - Opinion on the Financial Statements
 - Opinion on the Schedule of Expenditures
 - Report on Internal Controls for Financial Statements
 - Report on Internal Controls for Compliance
 - Schedule of Findings of Questionable Costs
- ▶ Corrective Action Plan

6. Post-Audit—Follow up on and implement any required corrective action. After the USG oversight agency or prime issues a management decision, you will be responsible for implementing any necessary corrective action. Be sure to maintain documentation showing progress on each item.

Even if there were no findings relevant to USAID, it still may request a copy of your audit directly from you. Further, USAID reserves the right to conduct its own audits, regardless of the outcomes of your audits.

Finally, you must maintain records and a copy of the audit package for a minimum of three years following submission or three years after you resolved a finding from that year. USAID retains the right to conduct or arrange for additional audits, reviews, and evaluations.

5.3.4 Foreign Tax (VAT) Reporting

Organizations implementing some development projects are exempt from certain taxes and duties imposed by the government of the country in which they are implementing. Exemptions cover both prime recipients and subrecipients.

Bilateral agreements between the USG and host governments outline separately for each country the specific exemptions and the process for requesting reimbursements of taxes paid. Below are several common exemptions as well as taxes you may be required to pay. You will need to find out what exemptions and requirements are relevant in each of the countries in which your organization is working.

Foreign Tax (VAT) Reporting Key Points

Who must report: Any organization that purchased US\$500 or more with USAID funds

Due: Annually on April 16

Form: No standard form; see below for outline

Submit to: If not specified, submit to FMO and AOTR

How Does This Report Help My Program?

The Foreign Tax Report helps ensure that you are using the USG funds for their intended

purposes. USAID uses these reports to track whether foreign governments are complying with the terms of their bilateral agreement.

All organizations receiving USAID funding must submit a Foreign Tax Report by April 16 each year. All organizations receiving USAID funds must comply with the foreign tax reporting requirements established by the U.S. Embassy in that country.

Taxes Exempt in Most Countries

- Value-Added Tax (VAT) levied on commodities and services purchased in-country, and
- customs duties levied on commodities imported into the country for use in USAID-funded projects.

Taxes Not Exempt

- VAT or sales tax levied on items purchased outside of the host country where you are implementing your USAID-funded program. For example, if an organization purchases commodities in South Africa for use in its USAID-funded project being implemented in Mozambique, it would not be exempt from paying VAT in South Africa.
- Organizations with headquarters outside the host country, including those in the United States or Europe, are not exempt from VAT or sales taxes in their home country, whether the items purchased are used in the HQ office or in the field.

Other Taxes Levied by Host Governments

Though USAID seeks exemptions on all taxes host governments levy against foreign assistance projects, there are several categories of taxes that you may be required to pay, for example:

- taxes levied on services, including lodging and rental of conference facilities;
- payroll taxes; and
- VAT on projects with no USG funding.

Be sure to check with the in-country Mission and other donors for details about what taxes your organization may be required to pay.

USAID recipients will find the "Reporting Foreign Tax" clause in the standard provisions in their agreement.

Country Specifics

Each country negotiates its own bilateral agreement with the United States, which includes provisions regarding the taxation of U.S. foreign assistance. These provisions typically address what taxes are exempt and how organizations implementing USAID-funded programs can receive reimbursements for any taxes paid. Exemptions and reimbursement procedures can vary widely from country to country, but it is your responsibility to check with the Mission regarding the rules in the country where you are working.

Work with the in-country USAID team to answer the following questions:

- What taxes, if any, am I exempt from paying?
- What taxes, if any, am I required to pay?
- What is the process for obtaining an exemption or reimbursement?

The process for obtaining an exemption or reimbursement varies by country. Some countries provide VAT exemption letters to show vendors at the time of the purchase. Others require you to pay the VAT and later request reimbursement, through either the Revenue Authority or the local Mission or Embassy.

Who Must Report?

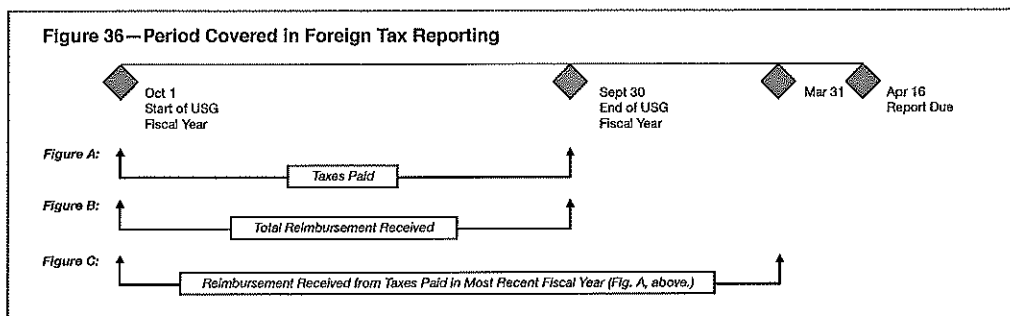
Any organization that purchased US\$500 or more worth of commodities with USAID funds, or paid any customs duties in the country where it was operating during the prior fiscal year, is required to submit an annual report on foreign taxes. This report is required even if you did not pay any taxes on those items during the reporting period.

All subrecipients under your award with in-country purchases of US\$500 or more must also track taxes paid and reimbursements received. You must incorporate subrecipient data directly into your report.

What Taxes Do I Report?

Only include taxes paid in the Foreign Tax Report if the following conditions all are true:

- You paid the tax to the government in the country where you are implementing.
- The transaction was US\$500 or more (not including the VAT).
- The tax you are paying is one your organization is exempt from paying (for example, if you are not exempt from lodging taxes in a particular country, then do not report that).



- The purchase is related to your USAID-funded project. (Report the purchase regardless of whether the specific purchase is made with USAID funds or is part of cost share, as long as it is a legitimate part of the project.)

When Is the Report Due? What Time Frame Should It Cover?

The report is due annually on or before April 16 and must cover the period October 1 of the previous fiscal year through September 30 of the previous year. You are required to report the following three figures:

- Figure A. Taxes paid to the host government during the previous fiscal year. This includes VAT and customs duties.
- Figure B. All reimbursements received during the previous fiscal year, regardless of when the original tax was paid.
- Figure C. Reimbursements received from the taxes paid through March 31 of the current fiscal year you are reporting on.

Submitting the Report

Submit the report to the office listed in your Cooperative Agreement under the Reporting of Foreign Taxes standard clause or as directed by the U.S. Embassy or USAID's in-country Financial Management Office. Also send a copy to your AOTR.

There is no standard form for the report; however, it must contain the following:

- name of your organization;

- contact name with phone, fax, and e-mail;
- agreement number(s);
- amount of foreign taxes assessed by a foreign government on purchases valued at US\$500 or more financed with USAID funds under this agreement during the prior fiscal year. If you work in multiple countries, list each country separately. However, if you work on multiple projects within one country, report on the total for each country. You should only report foreign taxes assessed by the foreign government in the country where you are working; do not report foreign taxes by a third-party foreign government. For example, if your program is in Mozambique, and you purchase something in South Africa using foreign assistance funds, any taxes imposed by South Africa would not be included in the report; and
- all reimbursements you have received during the fiscal year, regardless of when the foreign tax was assessed. In addition, provide a separate figure giving the total of any reimbursements of taxes assessed during the fiscal year you are reporting on that you received through March 31. This second number should be a subset of the first number. See Figure 37 for an example.

Foreign Tax Reporting Example

Organization: MyNGO
 Contact: Jane Smith
 Phone: +255-555-5555
 Fax: +255-555-5556
 E-mail: jane@myngo.org
 Agreement Number: XYZ-123

Figure 37—Example of Foreign Tax Reporting

Country	Taxes Assessed during FY08	Total Reimbursements Received during FY08	Reimbursements Received on FY08 Taxes through March 31
Mozambique	US\$0	US\$500	US\$0
Tanzania	US\$1,000	US\$1,000	US\$1,000

In this example, the organization is operating in two countries: Mozambique and Tanzania. The amounts in this table are summaries by country and are not broken down by project or subrecipient. During FY08, the Mozambican Government did not assess any taxes on the prime recipient (or subrecipients, if any). However, it did reimburse the organization US\$500 for taxes assessed prior to FY08. During FY08, the Tanzanian Government assessed the organization US\$1,000 in taxes, but reimbursed the organization in full by March 31, 2009. You must submit a separate Foreign Tax Report for each country (Tanzania and Mozambique), as directed by the funding agency.

Tracking VAT and Duty Payments and Reimbursements

Your organization must develop a process for tracking VAT and customs duties paid and for requesting and receiving reimbursements from the host government. Establishing such a process greatly simplifies your annual reporting and helps ensure that your funds help provide services to beneficiaries.

Consider the following strategies for tracking your VAT payments and reimbursements:

- Develop a list of exemptions and required taxes, so everyone in your organization involved with procurements is aware of the policy. Share this with subrecipients as well.
- Create a special code in your accounting system for tracking all payments of exempt taxes. Use this code only for exempt taxes, not for legitimate taxes paid.
- Create a special code in your system for tracking incoming tax reimbursement payments from the host government. Make sure you can tie the reimbursements received

back to the original accounting entry that recorded the taxes being paid. This will make it easy to identify which reimbursements have and have not been received.

- Establish a log that tracks the tax payment and reimbursement process. This should document each tax payment, reimbursement request, and payment received. You may also want to make sure you have a policy for keeping copies of receipts and reimbursement requests sent to the host government or USAID office, as applicable (see Figure 38). You will want to customize your process so it fits in with the host-government and USAID in-country requirements regarding submitting requests and expected turnaround time for tax reimbursements.
- Since your subrecipients also may have purchases of commodities or other expenditures covered by these provisions, work with them to submit their reports to you prior to the April 16 deadline, so you will have sufficient time to incorporate their data into your report. Note that their reports also must include reimbursements through March 31, so their deadline would need to be sometime between April 1 and April 15.

VAT Tracking Log Example

Figure 38 is an example of a log for tracking your VAT payments, reimbursement requests, and payments received. You can create a log like this for each country in which you operate; it can include all requests related to that country, even from different projects. You also may want to use this log to track VAT payments for transactions of less than US\$500 for auditing purposes, though you will not include these in your USAID-required Foreign Tax Report.

Figure 38—Sample Foreign Tax Tracking Log

Acct. Sys. Ref. #	Date	Vendor	Description	Transaction Value (pre-VAT)*	VAT*	Project	Date Reimb. Requested	Date Reimb. Received
210	23-Oct-07	ABC Supplies	Office furniture	\$1,200	\$120	NPI Ethiopia	31-Oct-07	15-Jan-08
223	15-Jan-08	DEF Imports	HBC Kits	\$1,000	\$100	NPI Ethiopia	31-Jan-08	
235	02-Feb-08	GHI Computers	Computers	\$2,000	\$200	OVC Project		
236	02-Feb-08	JKL Inc.	Printer	\$500	\$50	OVC Project		

* You may want to track your payments and reimbursements in local currency.